

Company Accounts - Unit IV

Consolidated Balance Sheet of Holding Companies, Statement of Affairs & Receiver's Accounts

Unit 4 | Notes with one solved question per topic | All amounts in Rs.

Roadmap (about 90 minutes)

Topic	Time	What we must walk away with
1. Holding & subsidiary, Consolidated Balance Sheet (one subsidiary)	40 min	Capital vs revenue profit, cost of control, minority interest, mutual owings
2. Statement of Affairs and Deficiency / Surplus Account	30 min	Order of payment: secured, preferential, floating charge, unsecured
3. Receiver's Receipt and Payment Account	20 min	Who gets paid first from the receiver's collections

1. Holding company, subsidiary & Consolidated Balance Sheet

- **Subsidiary (Sec 2(87))**: a company where another company controls the composition of the Board of Directors, or holds **more than 50%** of total voting power. The controlling company is the **Holding company (H)**.
- **Consolidated Balance Sheet (CBS)** shows H and its subsidiary (S) as **one economic unit**, as if one company (AS-21 / Ind AS 110).
- **Minority (non-controlling) interest**: the outside shareholders' share in S (the part H does not own).
- H's investment in S is **cancelled** against S's share capital and pre-acquisition reserves; the difference is goodwill or capital reserve.

Key terms and formulas

Term	Meaning / Formula
Capital profit (pre-acquisition)	S's reserves + P&L balance on the date H bought the shares (adjusted for revaluation)
Revenue profit (post-acquisition)	S's profits earned after that date = current reserves/P&L - capital profit
Cost of control	Cost of investment - (H's % x [Share capital + Capital profits]). Positive = Goodwill; negative = Capital Reserve
Minority interest	Minority % x (Share capital + Capital profits + Revenue profits of S): in other words, their share in everything of S
Consolidated reserves / P&L	H's own balance + H's % of S's revenue (post-acquisition) profit

Treatment of special items

Item	Treatment in CBS
Mutual owings (S owes H, bills receivable/payable)	Cancel from both sides (reduce debtors and creditors)
Unrealised profit in closing stock (inter-company sales)	Unrealised profit = Stock x profit %. Reduce stock and the seller's profit. If H sold: deduct from H's reserves. If S sold: share between H and minority
Dividend out of pre-acquisition profit	Capital receipt: reduces cost of investment (not income)
Dividend out of post-acquisition profit	Revenue income for H
Revaluation of S's assets at date of acquisition	Adjust the asset values; the gain/loss goes to capital profit
Preference shares of S held by outsiders	Part of minority interest

Format of Consolidated Balance Sheet

Equity & Liabilities	Assets
Shareholders' funds : Share capital (H only); Reserves & surplus (H + H's share of S's revenue profits, less unrealised profit) Minority interest Non-current liabilities (H + S) Current liabilities (H + S - mutual owings)	Non-current : Goodwill (cost of control); Fixed assets (H + S); Investments (excluding shares in S) Current : Stock (H + S - unrealised profit); Debtors (H + S - mutual owings); Cash (H + S) (Capital reserve, if any, goes under Reserves & surplus)

Steps to solve any CBS question

- 1. Find H's holding % and minority %.
- 2. Split S's profits into capital and revenue.
- 3. Compute cost of control.
- 4. Compute minority interest.
- 5. Compute consolidated reserves and P&L.
- 6. Cancel mutual owings and adjust unrealised profit.
- 7. Add H + S line by line.

Q1. H Ltd holds 80% shares (8,000 shares of Rs. 10) of S Ltd, bought for Rs. 1,20,000 when S Ltd had General Reserve Rs. 20,000 and P&L Rs. 10,000. S owes H Rs. 5,000. Prepare the CBS.

Particulars	H Ltd	S Ltd
Share capital	5,00,000	1,00,000
General reserve	1,50,000	20,000
P&L A/c	1,00,000	40,000
Creditors	70,000	30,000
Total	8,20,000	1,90,000
Fixed assets	4,00,000	1,10,000
Investment in S Ltd	1,20,000	-
Stock	1,50,000	50,000
Debtors (H includes 5,000 due from S)	1,00,000	20,000
Cash	50,000	10,000

Working	Rs.
Capital profit: $20,000 + 10,000 = 30,000$. H 80% = 24,000; Minority 20% = 6,000	
Revenue profit: $P\&L\ 40,000 - 10,000 = 30,000$. H 80% = 24,000 ; Minority = 6,000	
Cost of control: $1,20,000 - (80\% \text{ of } 1,00,000 + 24,000) = 1,20,000 - 1,04,000$	16,000 goodwill
Minority interest: $20\% \times (1,00,000 + 20,000 + 40,000) = 6,000 + 6,000 + 20,000$	32,000
Consolidated P&L: $1,00,000 + 24,000$	1,24,000

Consolidated Balance Sheet	Rs.
Share capital (H)	5,00,000
General reserve (H)	1,50,000
P&L A/c	1,24,000
Minority interest	32,000
Creditors (70,000 + 30,000 - 5,000)	95,000
Total	9,01,000
Goodwill	16,000
Fixed assets (4,00,000 + 1,10,000)	5,10,000
Stock (1,50,000 + 50,000)	2,00,000
Debtors (1,00,000 + 20,000 - 5,000)	1,15,000
Cash (50,000 + 10,000)	60,000
Total	9,01,000

DON'T MAKE THESE MISTAKES

- Don't show "Investment in S" in the CBS: it is cancelled.
- H's **capital profit** never goes to reserves; only **revenue profit** does.
- Minority interest includes their share of capital, capital profits **and** revenue profits (reserves too).
- Unrealised profit: if H sold to S and S holds the goods, reduce **H's** profit; mutual owings must reduce **both** debtors and creditors.
- Always check: total liabilities = total assets.

2. Statement of Affairs and Deficiency / Surplus Account

- **Statement of Affairs** is prepared when a company goes into **winding up**. It shows assets at **estimated realisable value** (what they will fetch) and liabilities in the **order of payment**.
- Result: **Surplus** (we can pay everyone and shareholders get something) or **Deficiency** (assets cannot cover the liabilities).
- **Deficiency / Surplus Account** explains *how* the deficiency or surplus arose, starting from share capital and reserves.

Order of payment (classic textbook order)

Rank	Creditor	Paid from
1	Secured creditors (loan on a specific asset, e.g. mortgage on building)	The pledged asset only. Any shortfall becomes an unsecured creditor; any surplus goes to free assets
2	Preferential creditors (taxes due within 12 months, wages/salaries of employees for 4 months)	Free assets
3	Debentures with floating charge	Free assets (after preferential creditors)
4	Unsecured creditors (trade creditors, shortfall of secured creditors)	Remaining free assets
5	Shareholders	Only any surplus left

Format

Assets specifically pledged (ERV)	xx
Less: Secured creditors	(xx)
Surplus (to free assets) / Shortfall (to unsecured)	
Free assets (ERV of unpledged assets)	xx
Add: Surplus from pledged assets	xx
Less: Preferential creditors	(xx)
Less: Debentures with floating charge	(xx)
Net free assets available for unsecured	xx
Less: Unsecured creditors (+ shortfall)	(xx)
Surplus / (Deficiency) as regards members	xx

Format of Deficiency / Surplus Account

Dr (reduces equity)	Cr (adds to equity)
Debit balance of P&L (accumulated loss); Preliminary expenses & goodwill; Loss on realisable value (book value - ERV); Dividends	Share capital (paid-up); Reserves; Gain on realisable value (ERV - book value); Balancing figure: Deficiency (if Dr is more)

Q2. Co. Ltd goes into liquidation. Assets (book value / estimated realisable value): Land & building 2,00,000 / 1,20,000 (pledged to secured loan 1,50,000); Plant 90,000 / 40,000; Stock 80,000 / 50,000; Debtors 50,000 / 30,000; Cash 10,000 / 10,000. Liabilities: 10% debentures (floating charge) 40,000; wages 20,000 and taxes 10,000 (preferential); trade creditors 60,000. Share capital 2,00,000; general reserve 30,000; P&L debit balance 80,000. Prepare the Statement of Affairs and Deficiency Account.

Statement of Affairs	Rs.
Land & building (pledged) ERV	1,20,000
Less: Secured creditors	(1,50,000)
Shortfall (added to unsecured)	(30,000)
Free assets: Plant 40,000 + Stock 50,000 + Debtors 30,000 + Cash 10,000	1,30,000
Less: Preferential creditors (wages 20,000 + taxes 10,000)	(30,000)
Net free assets	1,00,000
Less: Debentures with floating charge	(40,000)
Available for unsecured creditors	60,000
Less: Unsecured creditors (60,000 trade + 30,000 shortfall)	(90,000)
Deficiency as regards members	(30,000)

Deficiency Account: Dr	Rs.	Cr	Rs.
To P&L (debit balance)	80,000	By Share capital	2,00,000
To Loss on realisation (1,80,000)	1,80,000	By General reserve	30,000
		By Deficiency (balancing figure)	30,000
Total	2,60,000	Total	2,60,000

Loss on realisation: L&B 80,000 + Plant 50,000 + Stock 30,000 + Debtors 20,000 = 1,80,000. Check: Deficiency 30,000 matches the Statement of Affairs.

DON'T MAKE THESE MISTAKES

- Show assets at **ERV**, not book value.
- Don't pay unsecured creditors before preferential creditors and floating charge debentures.
- Shortfall of a secured creditor **always** goes to unsecured creditors.
- Surplus on pledged assets goes to free assets; it is not lost.
- Debit balance of P&L and fictitious assets are **not** assets, they reduce equity in the Deficiency Account.

Note

- IBC 2016 (Sec 53) gives a revised order of payment in liquidation (e.g. workmen's dues up to 24 months). If your textbook still follows the Companies Act order shown above, write that.

3. Receiver's Receipt and Payment Account

- A **Receiver** is appointed by **debenture holders** (under the trust deed) or by the **Court** to take charge of the property on which the debentures are secured and recover their money.
- He **realises** the assets and pays the claims in order. Any **surplus** goes back to the company (or its liquidator).
- **Fixed charge** = specific assets (land, machinery). **Floating charge** = general assets (stock, debtors); preferential creditors rank **before** floating charge debentures.

Order of payment by the Receiver

Order	Payment
1	Receiver's expenses and remuneration (commission)
2	Preferential creditors (only when debentures carry a floating charge)
3	Debenture holders: interest first , then principal
4	Balance (surplus) to the company / liquidator

Format

Receipts	Rs.	Payments	Rs.
To Assets realised (stock, debtors, plant, etc.)	xx	By Receiver's expenses	xx
To Cash/bank balance, if any	xx	By Receiver's remuneration	xx
		By Preferential creditors (floating charge only)	xx
		By Debenture holders: interest, then principal	xx
		By Balance paid to company/liquidator	xx

Q3. Debentures of Rs. 1,00,000 (10%, floating charge) are due; one year's interest of Rs. 10,000 is outstanding. The Receiver realises: stock 60,000, debtors 50,000, plant 40,000. Receiver's expenses 3,000; his remuneration is 2% of gross realisations; preferential creditors (wages) 12,000. Prepare the Receiver's Receipt and Payment Account.

Receipts	Rs.	Payments	Rs.
To Stock	60,000	By Receiver's expenses	3,000
To Debtors	50,000	By Remuneration (2% of 1,50,000)	3,000
To Plant	40,000	By Preferential creditors (wages)	12,000
		By Debenture interest	10,000
		By Debenture holders (principal)	1,00,000
		By Balance paid to company	22,000
Total	1,50,000	Total	1,50,000

Surplus: $1,50,000 - 3,000 - 3,000 - 12,000 - 1,10,000 = 22,000$.

DON'T MAKE THESE MISTAKES

- Pay preferential creditors **before** debenture holders **only** for floating charge debentures.
- Interest on debentures is paid **before** principal.
- Remuneration may be given on **realisations** (gross) or on **payments to debenture holders**: read the question and apply the percentage to the right base.
- Receipts and payments totals must **tally**; any balance is shown as paid to the company.

Quick revision checklist

- CBS: capital profit reduces cost of control; revenue profit adds to consolidated reserves; minority interest takes its share of everything.
- Statement of Affairs: ERV of assets; order: secured, preferential, floating charge, unsecured.
- Deficiency Account: starts from share capital and reserves; Dr with losses and write-downs; balancing figure is the deficiency.
- Receiver: expenses and remuneration, then preferential (floating only), then debenture interest, then principal, then surplus to company.